

EXHIBIT III

RENEWABLE MANAGEMENT CONTRACT

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CONTRACT made this _____ day of _____, 198_, by and between GATE HOUSE DOCK CONDOMINIUM ASSOCIATION, INC., a Florida not-for-profit corporation, hereinafter called the "Association," and OCEAN REEF CLUB, INC., a Florida corporation, hereinafter called the "Managing Agent."

W I T N E S S E T H :

In consideration of the terms, conditions and covenants hereinafter set forth, the parties hereto mutually agree as follows:

ARTICLE I. MANAGING AGENT.

A. Appointment. The Association hereby appoints the Managing Agent, and the Managing Agent hereby accepts appointment on the terms and conditions hereinafter provided, as exclusive managing agent of the Condominium known as GATE HOUSE DOCK CONDOMINIUM ASSOCIATION, INC. (hereinafter called "the Condominium"), located on real property situated in Key Largo, Monroe County, Florida. Managing Agent is also the Developer of the Condominium.

B. Scope of Authority. The Managing Agent fully understands that the function of the Association is the operation and management of the Condominium. The Managing Agent agrees, notwithstanding the authority given to the Managing Agent in this Agreement, to confer fully and freely with the Board of Administration of the Association in the performance of its duties as herein set forth. It is further understood and agreed that the authority and duties conferred upon the Managing Agent hereunder shall be in connection with the Common Elements, Limited Common Elements and Docks as such terms are defined in the Declaration of Condominium.

ARTICLE II. MANAGERIAL PERSONNEL.

The Managing Agent shall hire, in its own name, all managerial personnel necessary for the efficient discharge of the duties of the Managing Agent hereunder. Compensation for the services of such employees shall be the responsibility of the Managing Agent.

The minimum number of personnel to be employed by the Managing Agent for the purpose of providing service to the Association shall be two (2).

ARTICLE III. ASSOCIATION MANAGER.

The Managing Agent shall designate one of its employees as Association Manager. The Association Manager shall occupy an office at the Ocean Reef Club. The Managing Agent shall pay the salary of the Association Manager and all other necessary and proper staff to carry out management responsibilities.

The Association shall designate a single individual who shall be authorized to deal with the Managing Agent on any matter relating to the management of the Condominium. It is understood that policy and decisions of the Board, made in accordance with applicable condominium documents and regulations, are to be implemented by the Managing Agent.

ARTICLE IV. MANAGEMENT FEES.

The fee due the Managing Agent for services relating to the common elements and operations of the Association shall be in the total amount of

\$11,424 for the term of this Agreement payable in equal monthly installments of \$952.00 on the first day of each month.

The management fee does not cover the cost of the following:

1. Preparation, mailing, collection of special assessments;
2. Annual independent audit costs, tax preparation and filings prepared for the Association;
3. Printing and postage or supplies costs;
4. Legal fees and court costs.
5. Administration of insurance claims or supervision of reconstruction covered by insurance.
6. Preparation and mailing of statements verifying insurance status.
7. Taking of Board or annual meeting minutes.
8. Maintenance or supervision of individual Docks except as expressly provided for herein.
9. Supervision of contracted work.
10. Processing of new members or Lessees, the fee for which will not exceed \$50.00.

Such costs shall be paid monthly by the Association.

ARTICLE V. DUTIES OF MANAGING AGENT.

Annual
Allocated Fee
Per Dock

1. In General \$1,203.00

- (a) At all times, to serve as registered agent of the Association:
- (b) At all other appropriate times, to review the By-Laws and covenants of the Association and recommend additions, changes or corrections subject to review and approval by counsel retained by the Association:
- (c) Annually and at all other appropriate times, to review, make recommendations and maintain records concerning insurance coverage and obtain and keep in force all forms of insurance needed to protect adequately the Association, its members and respective mortgagees, either as separate policies or as part of a group coverage, and to allocate the costs thereof. Such insurance shall include, without limitation: directors and officers liability insurance; public liability; fire and extended coverage; and burglary and theft. All of the various types of insurance coverage required shall be placed with such companies, in such amounts and with such beneficial interests appearing therein as shall be acceptable to the Board:
- (d) At all appropriate times, to investigate promptly and make a full written report as to all accidents or claims for damage relating to the management, operation and maintenance of the Condominium including any damage or destruction to the Condominium (but excluding damage to any Boat or equipment of any Dock Owner or renter), the estimated

cost of repair, and to cooperate with and make any and all reports required by any insurance company in connection therewith:

- (e) Annually and at all other appropriate times, to make and review contracts for furnishing water and electricity, to the Association.

2. Administrative \$4,500.00

- (a) Annually, to prepare for and coordinate the budget and the annual meeting of the Association.
- (b) At all other appropriate times, to attend up to three regular meetings of the Board of Administration and such other meetings as are deemed necessary by the Board.
- (c) At all other appropriate times, to prepare, maintain, duplicate and distribute minutes of Association meetings with the cooperation of the Secretary of the Association.
- (d) At all times, to comply with relevant policies, the Rules and Regulations, the By-Laws, covenants, restrictions, and procedures as set forth in the Condominium documents.
- (e) At all appropriate times, to coordinate the disposition of written requests for information and services concerning or relevant to the property and facilities and the performance of the Association's policy decisions, or interpretation of covenants, easements, restrictions, and the By-Laws which interpretations shall not be deemed legal advice.
- (f) At all appropriate times, to coordinate the movement of boats into and out of the Condominium with a view toward accomplishing same in such manner as will cause a minimum of inconvenience to other members.

3. Financial \$1,203.00

- (a) Annually, to establish an operating budget commensurate with the needs of the Association projecting disbursements and income for the fiscal year of the Association, and to submit such budget to the Board of Administration at least fourteen (14) days prior to the beginning of such fiscal year for its approval.
- (b) At all appropriate times, to develop a billing and collection system for assessments and to collect all assessments due from Dock Owners. The Association hereby authorizes the Managing Agent to request, demand, collect, receive and receipt for any and all charges which may at any time be or become due to the Association and to take such action in the name of the Association by way of legal process, or otherwise, as may be required for the collection of delinquent assessments.
- (c) Annually and at all other appropriate times, to establish procedures convening accounts payable and receivable.
- (d) To establish and at all times to maintain a separate custodial bank account insured by the Federal Deposit Insurance Company for the deposit of the monies of the Association with authority to draw thereon only for: (a) payments to be made by the Managing Agent to discharge any liabilities or obligations incurred pursuant to this Agreement; and (b) payment of the Managing Agent's fees.
- (e) To establish and at all times to maintain savings and reserve accounts as requested by the Board.

- (f) At all times, to maintain satisfactory income and disbursement records which shall be subject to examination by the Association's authorized agents.
 - (g) At all times, to administer the payments of bills and salaries.
 - (h) Annually, to prepare an annual financial report for publication to the Dock Owners which shall include an actual versus budget comparison.
 - (i) At all appropriate times, to file proper payroll tax forms, and income tax forms.
 - (j) Annually, to arrange for an audit of the Association's books and records.
 - (k) At all appropriate times to file appropriate government reports.
4. Maintenance \$4,509.00
- (a) At all other appropriate times, to inspect the property and facilities and recommend programs to insure investments and develop preventative maintenance standards.
 - (b) At all other appropriate times, to hire and supervise all maintenance personnel, which personnel shall, in every instance, be in the employ of the Association, and not the Managing Agent.
 - (c) At all appropriate times, to negotiate and obtain bids for service contracts.
 - (d) At all appropriate times, to maintain the common elements and limited common elements according to standards acceptable to the Board.

ARTICLE VI. LINE OF AUTHORITY.

All employees and contractors of the Association shall be responsible to, and under the direction of, the Managing Agent. The Association shall designate a single individual who shall be authorized to deal with the Managing Agent on any matter relating to the management of the condominium. It is understood that policy and decisions of the Board, made in accordance with appropriate Condominium Documents and applicable rules and regulations, are to be implemented by the Managing Agent.

ARTICLE VII. RESALES AND LEASES.

A. Right of First Refusal. The Association hereby transfers and assigns its right of first refusal concerning sales and leases, as set forth in the Declaration of Condominium, to the Managing Agent, which right shall continue in full force and effect for the term of this Agreement.

B. Records. The Managing Agent shall keep and maintain a registry of the names of the then Owners of each Dock and any Mortgagee of a Dock.

ARTICLE VIII. LIMITATION OF LIABILITY.

A. Loss of Bank Deposits. The Association agrees to hold the Managing Agent harmless and free of any liability in the event of the bankruptcy or failure of a depository for the Association funds provided the depository is one described in Article V, Paragraph 3, Subparagraph d hereof and the

amount deposited does not exceed the limit, if any, placed on deposit by resolution of the Board.

B. Damages Arising from Negligence or Injuries. The Association shall protect, defend, indemnify and hold the Managing Agent harmless from all damage arising out of negligent acts or conduct of its employees or officers and from liability from injury suffered by an employee or other person whomsoever and to carry, at its own expense, public liability and workmen's compensation insurance adequate to protect the interest of the parties hereto, which policies shall be so written as to protect the Managing Agent in the same manner and to the same extent they protect the Association and will name the Managing Agent as co-insured.

ARTICLE IX. NOTICES.

All notices required hereunder shall be by certificate of mailing.

ARTICLE X. TERM OF CONTRACT.

This Contract shall be for a period of one (1) year, commencing, _____, 198_. This contract shall be renewed automatically thereafter unless terminated as follows:

A. By Association upon notice at least sixty (60) days prior to the expiration of the contract or any renewal term.

B. By Managing Agent, upon sixty (60) days written notice.

C. By mutual agreement of the parties in writing executed at any time during the term hereof.

D. By the Managing Agent in the event that the Association defaults hereunder, which default continues for thirty (30) days after written notice thereof is given by the Managing Agent to the Association. Such default may be failure to make prompt payment of any monies which may be owing from the Association to the Managing Agent when the same shall be due and payable, and/or failure by the Association to do and perform any covenant which it has herein undertaken and agreed to perform in favor of the Managing Agent.

E. By the Association in the event that the Managing Agent defaults hereunder, which default continues for thirty (30) days after written notice thereof is given by the Association to the Managing Agent. Such default may be failure to make payment of any monies which may be owing from the Managing Agent to the Association promptly when the same shall be due and payable, and/or failure on the part of the Managing Agent to do and perform any covenant which it has herein undertaken and agreed to perform in favor of the Association.

F. Notwithstanding any of the foregoing to the contrary, any termination of this Agreement by Association may only be made upon the unanimous prior written consent of all Association Members.

If the defaulting party cures any such default within thirty (30) days from receiving such notice, or if such default cannot be cured within thirty (30) days and the defaulting party has within the thirty (30) day period of time commenced performance of such undertaking and diligently pursues same to its proper conclusion, even though it may extend beyond the thirty (30) day period, then this Agreement shall be restored to current status. In event of default which is not cured within the applicable grace period, the defaulting party shall be liable for damages resulting from such default.

In the event that any institutional mortgagee should obtain title, through foreclosure or other legal proceedings, to more than fifty percent (50%) of the Condominium Docks, then such institutional mortgagee shall have an irrevocable right to cancel, nullify and void this Agreement upon sixty (60) days written notification to the Managing Agent.

ARTICLE XI. FACILITIES

Managing Agent covenants and agrees that as long as this Agreement and any renewal thereof shall remain in full force and effect, Managing Agent shall make available to Association Members and their guests the shower and laundry facilities now located on Managing Agent's premises. During the term of this Agreement the laundry and shower facilities shall be maintained by Managing Agent for the benefit of the Association, other Boat Dock Condominium Associations within the Ocean Reef Marina, Docks owned by Managing Agent and such other individuals as Managing Agent shall permit to use the facilities. In the event of termination of this Agreement or any renewal term thereof, the Condominium Association members right to use the laundry and shower facilities shall terminate. Managing Agent specifically reserves the right to relocate the facilities.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the day and year above written.

Signed, Sealed & Delivered
in the Presence of:

OCEAN REEF CLUB, INC.
[SEAL]

By: _____

ATTEST: _____

Signed, Sealed & Delivered
in the Presence of:

GATE HOUSE DOCK CONDOMINIUM
ASSOCIATION, INC.

By: _____

ATTEST: _____

STATE OF FLORIDA)
 : ss
COUNTY OF MONROE)

I HEREBY CERTIFY that on this day personally appeared before me, an officer duly authorized to administer oaths and take acknowledgements, _____ and _____, President and Secretary, respectively of OCEAN REEF CLUB, INC., to me well known to be the persons described in and who executed the foregoing instrument, and acknowledged before me the execution of said instrument is the act and deed of said corporation and that they executed the same freely and voluntarily for the purposes therein expressed.

WITNESS my hand and official seal in the State and County last aforesaid, this _____ day of _____, 1986.

Notary Public State of

My Commission expires:

EXHIBIT F

PROPOSED BUDGET FOR OCEAN REEF MARINA CONDOMINIUM VI, INC. GATE HOUSE DOCKS A-1 THROUGH A-28

EXPENSES	ANNUAL BUDGET	AVERAGE PER UNIT PER YEAR	AVERAGE PER UNIT PER MONTH
Insurance	\$ 5,500	\$ 196.43	\$ 16.37
General Maintenance	6,000	214.29	17.86
Grounds Maintenance	10,600	378.57	31.55
Water	2,000	71.43	5.95
Electric	20,000	714.29	59.52
Management Fee	11,424	408.00	34.00
Miscellaneous	250	8.93	.74
Professional Fees	<u>1,000</u>	<u>35.71</u>	<u>2.98</u>
TOTAL EXPENSES	\$ 56,774	\$ 2,027.65	\$ 168.97

QUARTERLY ASSESSMENTS WITHOUT RESERVES

A-1	\$591.37	A-8	\$473.14	A-15	\$591.37	A-22	\$473.14
A-2	591.37	A-9	473.14	A-16	591.37	A-23	591.37
A-3	591.37	A-10	591.37	A-17	473.14	A-24	473.14
A-4	591.37	A-11	473.14	A-18	473.14	A-25	473.14
A-5	591.37	A-12	473.14	A-19	473.14	A-26	591.37
A-6	473.14	A-13	473.14	A-20	473.14	A-27	354.84
A-7	473.14	A-14	473.14	A-21	473.14	A-28	354.84

RESERVES

Electric	\$ 40,000 @ 15 year life	\$ 2,600/year
Wood Deck, Rub Rails, Cleats	200,000 @ 30 year life	6,667/year
Roof	8,000 @ 20 year life	400/year
Painting	4,000 @ 7 year life	570/year
Paving	8,000 @ 15 year life	533/year
Garbins	6,000 @ 30 year life	200/year
Fire Protection Equip.	2,760 @ 12 year life	230/year
Plumbing	15,000 @ 30 year life	<u>500/year</u>

TOTAL RESERVES

\$ 11,700/year

QUARTERLY ASSESSMENTS WITH RESERVES

A-1	\$713.24	A-8	\$570.65	A-15	\$713.24	A-22	\$570.65
A-2	713.24	A-9	570.65	A-16	713.24	A-23	713.24
A-3	713.24	A-10	713.24	A-17	570.65	A-24	570.65
A-4	713.24	A-11	570.65	A-18	570.65	A-25	570.65
A-5	713.24	A-12	570.65	A-19	570.65	A-26	713.24
A-6	570.65	A-13	570.65	A-20	570.65	A-27	427.97
A-7	570.65	A-14	570.65	A-21	570.65	A-28	427.97

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